

vengeanceaiUSCMODEL14.0 — Assumptions List

Ticker: FICO. Plain list only (no charts). Each item includes What / How / Why / Source. Download URL: https://raw.githubusercontent.com/vengeanceaiUSC/Rainmaker/cursor/vengeanceaiusmodel14-d3ac/FICO/output/MODEL14_FICO_ASSUMPTIONS_LIST.pdf

MODEL13 rated 6.5/10 (LT value / Yacktman lens). Exit BASE 22.0x EV/EBITDA (peer median ~18.1x; bull 27.0x; bear 16.0x). Yacktman WACC = 7.10% (MODEL13 7.80%; CAPM ref ≈ 9.24%). $g = 3.5\%$.

Yacktman lens (MODEL13 rated 6.5/10): treat FICO as an AAA-equivalent equity bond whose coupon (Scores royalties) is GSE-mandated and grows faster than inflation. MODEL14 lowers WACC to 7.10%, lifts g to 3.5%, accelerates DSO, and routes ~95%+ of incremental Scores revenue to CFO via COGS/SG&A/R&D; leverage — without double-counting Deferred vs AR, and with BS identity always held.

Branch Process: MODEL13 WACC = 7.80%; MODEL14 WACC = 7.10% (band 7.0%–7.2%). Yacktman AAA-equity: mandated GSE Scores cash flows are closer to a sovereign coupon than a $\beta \approx 1.32$ CAPM stock (CAPM ref ≈ 9.24% kept at R15 only). D6 is the policy rate used for XNPV.

Branch Process: MODEL13 exit = 21.0x; MODEL14 BASE = 22.0x (Bull 27.0x / Bear 16.0x). AAA toll-road premium vs peer median ~18.1x; still below FICO spot (~25–27x).

Branch Process: MODEL13 revenue path = 27%/16%/13%/10%/7%. MODEL14 = 30%/18%/14.5%/11%/8.5% — lifts near-term growth for the 2026 mortgage royalty reprice (4.95→10.00) and ongoing B2B Scores unit-price power. Terminal g raised 3.0%→3.5% (pricing > inflation).

Branch Process MODEL13→MODEL14: Operating NWC = AR+Inv–AP (excludes Deferred) unchanged in structure, but DSO fade accelerates — MODEL13 targeted 45d; MODEL14 targets 35d (hist 97d → 35d over 5yrs) so cash is not artificially trapped. Increase in Deferred Revenue remains an explicit CFO/FCFF source (row 81). AR and unearned revenue are never double-counted.

FY2025 10-K disaggregation (\$000s): B2B Scores 948,595; B2C myFICO 219,980; SaaS 419,720; on-prem 320,425; PS 82,149. MODEL14 shifts +250 bps/yr on-prem→SaaS (MODEL13 used +200 bps) to reflect faster cloud/Deferred billings.

Deferred Revenue stays in Total Liabilities and is an explicit + Δ Deferred in CFO/FCFF (not inside Op NWC). Forecast Deferred = $\text{Rev} \times (\text{SaaS}\% + \text{OnPrem}\%) \times (\text{FY25 Def}/\text{FY25 soft Rev})$. FY25 current deferred ≈ \$187.4M. Q1 FY2026 roll-forward: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>.

CFO/FCFF add back TOTAL D&A; at ≈ 0.84% of Revenue (3yr avg). Intangibles amortization is inside that total — added back once.

SBC added back once in CFO/FCFF (~8.25% of Rev). MODEL14 does NOT dilute shares by SBC\$/Price. Branch Process: MODEL13 started shares at 23,764k (FYE25); MODEL14 starts at 21,597.635k after Q3 FY2026 repurchases of 1,705k shares for \$1960M @ \$1,149 avg (Q3 FCF \$370.3M). Residual FCF buybacks continue to shrink the forward share count — offsets SBC dilution economically.

Starting shares = 21,597.635k (post–Q3 FY2026). $\text{Shares}_t = \text{Shares}_{t-1} + \text{EquityCF}_t / \text{Price}$; EquityCF is buyback outflow (negative). Price policy \$1,149 (= Q3 avg repurchase). SBC add-back does NOT increase shares. \$/share uses Y5 buyback-adjusted shares.

CapEx % fades with operating leverage: 1.25%→0.60% (same path as MODEL13).

Branch Process MODEL13→MODEL14: COGS grind –120 bps/yr (was –75); SG&A; –175 bps/yr (was –125); R&D; –50 bps/yr (MODEL13 held R&D;% flat). B2B / mortgage royalty price hikes have ~100% incremental GM and need ~0 incremental SG&A/R&D; — ~95%+ of incremental Scores revenue flows to CFO. 2026 mortgage wholesale royalty 4.95→10.00 (Equifax/Hawley; industry uplift cited up to ~\$500M).

DCF unlevered cash taxes use 3yr IncomeTaxesPaidNet/EBT ≈ 22.87%; 3S NI still uses book tax.

Debt CF ≈ 3yr avg net debt CF. Equity buybacks = residual levered FCF after debt (no cash stockpile). Q3 FY2026 proved hyper-aggressive capacity: \$1960M buybacks vs \$370.3M FCF (<https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>).

Equity Capital = Assets – Liabilities – RE every year (hard plug). Total Liabilities = AP + Debt + Deferred Revenue. Row-3 BS Check = OK.

Primary filings hub: <https://investors.fico.com/financial-information/sec-filings> — FY2025 10-K

(<https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>). Q3 FY2026 EX-99.1 FCF/buybacks:

<https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>. Mortgage royalty 2x: <https://www.equifax.com/newsroom/all-news/-/story/equifax-statement-on-fico-2x-price-increase-for-2026-and-mortgage-direct-license-program/>; Hawley letter <https://www.hawley.senate.gov/wp-content/uploads/2026/03/2026-03-23-Hawley-Oversight-Letter-to-FICO.pdf>. Deferred detail:

<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>.

A. Three-Statement Forecast Assumptions

Row 7: Revenue Growth

What it is: Year-over-year % increase in revenue for each forecast year.

How set in model: Yellow POLICY: 30.0% / 18.0% / 14.5% / 11.0% / 8.5%.

Why this choice: Branch Process: MODEL13 revenue path = 27%/16%/13%/10%/7%. MODEL14 = 30%/18%/14.5%/11%/8.5% — lifts near-term growth for the 2026 mortgage royalty reprice (4.95→10.00) and ongoing B2B Scores unit-price power. Terminal g raised 3.0%→3.5% (pricing > inflation). Mortgage wholesale royalty \$4.95→\$10.00 is near-100% incremental margin and lifts the near-term path vs MODEL13's 27/16/13/10/7.

Source: Equifax / Hawley — FICO 2026 mortgage royalty 2x; EX-99.1 Q3 FY2026 guidance

Source URL: <https://www.equifax.com/newsroom/all-news/-/story/equifax-statement-on-fico-2x-price-increase-for-2026-and-mortgage-direct-license-program/>

Row 8: COGS % of Revenue

What it is: Cost of revenues as a % of sales (gross margin = 1 – this).

How set in model: Excel: MAX(10%, segment blended COGS base≈14.58% – 120bps × year).

Why this choice: MODEL14 Yacktman: Branch Process MODEL13→MODEL14: COGS grind –120 bps/yr (was –75); SG&A; –175 bps/yr (was –125); R&D; –50 bps/yr (MODEL13 held R&D;% flat). B2B / mortgage royalty price hikes have ~100% incremental GM and need ~0 incremental SG&A;/R&D; — ~95%+ of incremental Scores revenue flows to CFO. 2026 mortgage wholesale royalty 4.95→10.00 (Equifax/Hawley; industry uplift cited up to ~\$500M). Mix % offset within Total Revenue (not a second revenue stack).

Source: SEC 10-K FY2025 — Scores +\$249M YoY 'primarily attributable to a higher unit price'

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 9: SG&A; % of Revenue

What it is: Operating opex (SG&A;) as % of sales.

How set in model: Equation: MAX(14%, (I28 – 10,922)/I24 – 175bps × year). Strips FY25 restructuring; then –1.75% of sales each year.

Why this choice: Branch Process: MODEL13 used –125 bps / 15% floor; MODEL14 uses –175 bps / 14% floor — B2B Scores price hikes need ~0 incremental SG&A; so ~95%+ drops to CFO.

Source: SEC 10-K FY2025 — SG&A; Equifax/Hawley mortgage royalty 2x

Source URL: <https://www.equifax.com/newsroom/all-news/-/story/equifax-statement-on-fico-2x-price-increase-for-2026-and-mortgage-direct-license-program/>

Row 10: R&D; % of Revenue

What it is: Research & development expense as % of sales (IS label: R&D;, not Rent).

How set in model: Excel: MAX(7%, I29/I24 – 50bps × year).

Why this choice: Branch Process: MODEL13 held R&D;% flat; MODEL14 fades R&D;% because B2B / mortgage royalty price hikes require ~0 incremental R&D; — otherwise NI/CFO are artificially depressed.

Source: SEC 10-K FY2025 — Research and development; Scores royalty economics

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 11: D&A; % of Revenue

What it is: Total depreciation & amortization as % of sales (software-industry driver).

How set in model: Yellow POLICY input: flat 0.84% (3yr FY23–25 avg TOTAL D&A;). Forecast DA\$ = Revenue × DA%; CF row 63 adds it back once.

Why this choice: MODEL14: CFO/FCFF add back TOTAL D&A; at ≈ 0.84% of Revenue (3yr avg). Intangibles amortization is inside that total — added back once.

Source: SEC companyfacts — DepreciationDepletionAndAmortization (+ AmortizationOfIntangibleAssets)

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 12: Interest % of Debt Open

What it is: Interest expense as % of opening debt balance.

How set in model: Excel equation: I101/I98 (FY25 interest ÷ FY25 opening debt in schedule).

Why this choice: Approximates average coupon / cost of debt on the book. Debt stock follows the net debt issuance assumption (row 19).

Source: SEC 10-K FY2025 — Interest expense; see also 8-K 6.250% notes

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 13: Book Tax Rate (% of EBT)

What it is: Effective book tax rate applied to forecast EBT → Net Income.

How set in model: Excel equation: I35/I33 (FY25 tax ÷ simplified FY25 EBT in this template).

Why this choice: Book rate (~19%) remains on the income statement. DCF unlevered cash taxes use a separate cash tax rate (22.87% = 3yr IncomeTaxesPaidNet/EBT). DCF unlevered cash taxes use 3yr IncomeTaxesPaidNet/EBT ≈ 22.87%; 3S NI still uses book tax.

Source: SEC 10-K FY2025 — tax expense; cash taxes from IncomeTaxesPaidNet

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 15: DSO — Accounts Receivable (Days)

What it is: Days Sales Outstanding. AR = Revenue × DSO / 365.

How set in model: Yellow POLICY path: phases 97d (FY25 hist) → 35d over 5 years (Y1=84.6d ... Y5=35d). Segment blend ref ≈ 27.5d on schedule row 115 (SaaS 40/B2C 2/B2B 25/PS 12/On-prem 40).

Why this choice: Branch Process vs MODEL13 (6.5/10): MODEL13 targeted 45d; MODEL14 targets 35d so cash is not trapped vs SaaS upfront / Scores settlement reality. Branch Process MODEL13→MODEL14: Operating NWC = AR+Inv-AP (excludes Deferred) unchanged in structure, but DSO fade accelerates — MODEL13 targeted 45d; MODEL14 targets 35d (hist 97d → 35d over 5yrs) so cash is not artificially trapped. Increase in Deferred Revenue remains an explicit CFO/FCFF source (row 81). AR and unearned revenue are never double-counted. Deferred Revenue stays in Total Liabilities and is an explicit +ΔDeferred in CFO/FCFF (not inside Op NWC). Forecast Deferred = Rev × (SaaS%+OnPrem%) × (FY25 Def/FY25 soft Rev). FY25 current deferred ≈ \$187.4M. Q1 FY2026 roll-forward:

<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>.

Source: SEC 10-K FY2025 — AR; Q1 FY2026 deferred detail

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>

Row 16: Inventory (Days)

What it is: Inventory days (Inv = COGS × days/365).

How set in model: Hard zero — FICO is software / scores; inventory is immaterial.

Why this choice: No inventory cycle to fund.

Source: SEC 10-K FY2025 — Inventory ≈ \$0

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 17: DPO — Accounts Payable (Days)

What it is: Days Payable Outstanding. AP = COGS × DPO / 365.

How set in model: Excel equation: ROUND(I48/I25×365, 0) from FY25; held flat.

Why this choice: MODEL14: DPO pairs with phased DSO for Op NWC = AR+Inv-AP. Deferred is a SEPARATE CFO cash source (row 81) — never mixed into AR/DPO.

Source: SEC 10-K FY2025 — Accounts payable

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 18: CapEx % of Revenue

What it is: Capital investment (PPE + capitalized software) as % of sales.

How set in model: Yellow POLICY path: 1.25% / 1.05% / 0.90% / 0.75% / 0.60% (fade with operating leverage).

Why this choice: MODEL14 Yacktmán: CapEx % fades with operating leverage: 1.25%→0.60% (same path as MODEL13).

Source: SEC 10-K / companyfacts — PPE purchases + capitalized software; fade to maintenance

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 19: Debt Issuance (Repayment)

What it is: New borrowing (+) or repayment (–) in the forecast (\$000s).

How set in model: Yellow POLICY input: -290,917 each year (3yr avg senior-note proceeds – line-of-credit repayments).

Why this choice: MODEL14: Debt CF $\approx$ 3yr avg net debt CF. Equity buybacks = residual levered FCF after debt (no cash stockpile). Q3 FY2026 proved hyper-aggressive capacity: \$1960M buybacks vs \$370.3M FCF (<https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>). Financing is excluded from FCFF.

Source: SEC companyfacts — ProceedsFromIssuanceOfSeniorLongTermDebt / RepaymentsOfLinesOfCredit

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 20: Equity Issued (Repaid)

What it is: New equity issued (+) or buybacks (–) in the forecast BS/CF.

How set in model: Equation: $-(\text{CFO} - \text{CapEx}) - \text{DebtIssuance}$ so residual levered FCF funds buybacks (hist 3yr avg buybacks $\approx$ \$881M/yr).

Why this choice: Restores financing realism so cash does not artificially stockpile. Buybacks are financing — excluded from FCFF. DCF share count FALLS with this buyback outflow. Starting shares = 21,597.635k (post-Q3 FY2026). $\text{Shares}_t = \text{Shares}_{t-1} + \text{EquityCF}_t / \text{Price}$; EquityCF is buyback outflow (negative). Price policy \$1,149 (= Q3 avg repurchase). SBC add-back does NOT increase shares. \$/share uses Y5 buyback-adjusted shares.

Source: SEC 10-K FY2025 — Repurchases of common stock (\$1.415B); June 2025 \$1B authorization

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 21: SBC % of Revenue

What it is: Stock-based compensation as % of sales; non-cash add-back in CFO and FCFF.

How set in model: Yellow POLICY input: flat 8.25% (3yr FY23–25 avg ShareBasedCompensation / Revenue).

Why this choice: MODEL14 Yacktmán: SBC added back once in CFO/FCFF (~8.25% of Rev). MODEL14 does NOT dilute shares by SBC\$/Price. Branch Process: MODEL13 started shares at 23,764k (FYE25); MODEL14 starts at 21,597.635k after Q3 FY2026 repurchases of 1,705k shares for \$1960M @ \$1,149 avg (Q3 FCF \$370.3M). Residual FCF buybacks continue to shrink the forward share count — offsets SBC dilution economically.

Source: SEC 10-K cash flow — ShareBasedCompensation (add-back only; no share dilution)

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 104: Mix % — SaaS / Platform software

What it is: Share of Total Revenue from SaaS / cloud software (incl. FICO Platform cloud).

How set in model: FY25 base 21.08% (SaaS \$419,720k / Total \$1,990,869k), then +250 bps/yr taken from on-prem. Platform ARR KPI \$263.6M is not additive IS revenue.

Why this choice: SaaS billed annually in advance → Deferred Revenue growth → explicit CFO cash source (3S row 81).

Source: Q1 FY2026 10-Q deferred roll-forward

(<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/fico-20251231.htm>). Mix offsets within Total Rev — not a second revenue line.

Source: SEC 10-Q Q1 FY2026 — Deferred revenue / contract liabilities detail

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>

Row 105: Mix % — B2C Subscriptions (myFICO)

What it is: Share of Total Revenue from B2C scoring / myFICO.com subscriptions.

How set in model: Yellow POLICY = 11.05% (FY25 B2C Scores \$219,980k / Total \$1,990,869k).

Why this choice: Near-zero DSO (card-settled consumer subscriptions). Minimal Deferred Revenue vs annual SaaS invoices. High incremental margin; WC-light cash conversion.

Source: SEC 10-K FY2025 — Scores segment B2C / myFICO disaggregation

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 106: Mix % — B2B Scores

What it is: Share of Total Revenue from B2B scoring (mortgage, auto, card via CRAs).

How set in model: Yellow POLICY = 47.65% (FY25 B2B Scores \$948,595k / Total \$1,990,869k).

Why this choice: Transactional volume through Experian/TransUnion/Equifax; ~30-day DSO. Does not create SaaS-style Deferred Revenue (usage-based recognition).

Source: SEC 10-K FY2025 — Scores segment B2B disaggregation

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 107: Mix % — Professional Services

What it is: Share of Total Revenue from implementation / consulting / training fees.

How set in model: Yellow POLICY = 4.13% (FY25 PS \$82,149k / Total \$1,990,869k).

Why this choice: Upfront integration fees convert cash quickly (low DSO) but carry significantly lower gross margin than software/scores — pulls blended COGS up vs pure SaaS.

Source: SEC 10-K FY2025 — Software segment Professional services line

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 108: Mix % — On-Premises Software

What it is: Share of Total Revenue from on-premises license + maintenance software.

How set in model: Yellow POLICY = 16.09% (FY25 on-prem \$320,425k / Total \$1,990,869k).

Why this choice: With SaaS mix, drives Deferred Revenue (maintenance billed in advance). Same 45-day DSO policy as SaaS. Completes mix identity to 100% of Total Rev.

Source: SEC 10-K FY2025 — Software on-premises vs SaaS deployment table

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

B. DCF Assumptions

DCF-D5: Cash Tax Rate (unlevered)

What it is: Cash tax rate used for FCFF unlevered taxes and after-tax cost of debt.

How set in model: Yellow POLICY = 22.87% (3yr avg IncomeTaxesPaidNet ÷ EBT). NOT linked to book tax J13.

Why this choice: DCF unlevered cash taxes use 3yr IncomeTaxesPaidNet/EBT ≈ 22.87%; 3S NI still uses book tax.

Source: SEC companyfacts — IncomeTaxesPaidNet / EBT

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

DCF-D6: WACC (Yacktman AAA-equity discount rate)

What it is: Weighted average cost of capital for XNPV of FCFF + TV.

How set in model: Yellow POLICY D6 = 7.10% (band 7.0%–7.2%; MODEL13 was 7.80%). CAPM stack kept at R15 ≈ 9.24% as reference only.

Why this choice: Branch Process: MODEL13 WACC = 7.80%; MODEL14 WACC = 7.10% (band 7.0%–7.2%). Yacktman AAA-equity: mandated GSE Scores cash flows are closer to a sovereign coupon than a $\beta \approx 1.32$ CAPM stock (CAPM ref ≈ 9.24% kept at R15 only). D6 is the policy rate used for XNPV.

Source: Yacktman AAA-equity framework; CAPM ref FRED/Damodaran/Yahoo/8-K

Source URL: <https://fred.stlouisfed.org/series/DGS10>

DCF-D7: Perpetual Growth (g)

What it is: Long-run growth used only in the Gordon TV cross-check.

How set in model: POLICY input = 3.5% (MODEL13 was 3.0%).

Why this choice: Branch Process: MODEL13 g=3.0%; MODEL14 g=3.5% because GSE-mandated Scores pricing power outpaces baseline inflation. Primary TV still uses exit multiple D8.

Source: Yacktman pricing-power framing; Damodaran long-run growth

Source URL: https://pages.stern.nyu.edu/adamodar/New_Home_Page/datafile/histimpl.html

DCF-D8: Exit EV/EBITDA (BASE)

What it is: Terminal enterprise value multiple on Year-5 EBITDA.

How set in model: POLICY BASE 22.0x; Bull 27.0x; Bear 16.0x. Peer set: EFX 13.88x, VRSK 17.42x, SPGI 18.11x, MCO 22.20x, MSCI 23.74x. Median $\approx$ 18.11x.

Why this choice: Branch Process: MODEL13 exit = 21.0x; MODEL14 BASE = 22.0x (Bull 27.0x / Bear 16.0x). AAA toll-road premium vs peer median $\sim$ 18.1x; still below FICO spot ($\sim$ 25–27x).

Source: VCP Scanner FICO peer EV/EBITDA comps + Yacktman premium

Source URL: <https://vcpscanner.com/valuation/fico/relative>

DCF-D13/D14: Debt & Cash (equity bridge)

What it is: Gross debt and cash+marketable securities for EV $\rightarrow$ equity.

How set in model: Latest 10-Q bridge totals (more current than FY25 3S balances).

Why this choice: Bridge should reflect the latest capital structure; 3S FY25 shown as reference.

Source: SEC 10-Q — Fair Isaac Corp

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000016/fico-20250331.htm>

DCF-D12/I16: Shares Outstanding (buyback-adjusted)

What it is: Starting shares (D12 = 21,597.6k post-Q3 FY2026) fall each year with buybacks (3S equity CF / \$1,149). SBC is added back in FCFF but does NOT increase shares — avoids double penalty. \$/share uses Y5 shares (I16).

How set in model: D16=\$D\$12; E16:I16 = MAX(1000, prior + 3S!(J–N)20 / \$D\$11); D37=\$D\$35/\$I\$16.

Why this choice: Starting shares = 21,597.635k (post-Q3 FY2026). Shares_t = Shares_{t–1} + EquityCF_t / Price; EquityCF is buyback outflow (negative). Price policy \$1,149 (= Q3 avg repurchase). SBC add-back does NOT increase shares. \$/share uses Y5 buyback-adjusted shares.

Source: SEC EX-99.1 Q3 FY2026 — FCF \$370.3M; buybacks \$1.96B / 1.705M sh

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>

DCF-E25: Net WC investment (Δ OpNWC – Δ Deferred)

What it is: FCFF subtracts Δ Operating NWC (AR+Inv–AP) and adds Increase in Deferred Revenue. AR and Deferred are strictly separated.

How set in model: DCF E25:I25 = 3S!(J–N)90 – (3S Def_t – Def_{t–1}). Equivalent to $-\Delta$ OpNWC + Δ Deferred inside UFCFF.

Why this choice: Branch Process MODEL13 $\rightarrow$ MODEL14: Operating NWC = AR+Inv–AP (excludes Deferred) unchanged in structure, but DSO fade accelerates — MODEL13 targeted 45d; MODEL14 targets 35d (hist 97d $\rightarrow$ 35d over 5yrs) so cash is not artificially trapped. Increase in Deferred Revenue remains an explicit CFO/FCFF source (row 81). AR and unearned revenue are never double-counted. Deferred Revenue stays in Total Liabilities and is an explicit $+\Delta$ Deferred in CFO/FCFF (not inside Op NWC). Forecast Deferred = Rev $\times$ (SaaS%+OnPrem%) $\times$ (FY25 Def/FY25 soft Rev). FY25 current deferred $\approx$ \$187.4M. Q1 FY2026 roll-forward:

<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>.

Source: SEC 10-Q Q1 FY2026 — Deferred revenue roll-forward (R45)

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>

This PDF is the canonical printable assumptions list for the workbook. Filings and data sources remain clickable in Excel columns U/V; column W on every assumption row links back to this file.